A Rationale for Social Return on Investment

Return on Investment (ROI) models are used to measure the cost effectiveness of a program by comparing benefits and costs. If the benefits outweigh the costs, this is reflected in a positive ROI. While this comparison is intuitively straightforward, there are different ROI measures based on what counts as a benefit (and to a lesser extent, a cost).

Taxpayer Return on Investment

When evaluating federal investments, policymakers often consider ROI in terms of benefit to the taxpayer and/or reductions in federal expenditures. The narrow scope of Taxpayer ROI, however, undermines the value and benefits of workforce programs such as Vocational Rehabilitation (VR), that provide significant economic payoffs to individual recipients, but may not translate into large increases in tax revenues.

Social Return on Investment

Social ROI models expand beyond the Taxpayer ROI by measuring whether the overall economic benefits of the program exceed the cost. For the VR program, this is reflected by measuring, for example, the increased probability of employment and earnings among VR recipients.

Consensus

The consensus in the economics literature is that Social, not Taxpayer, ROI is the appropriate measure of program value. Social ROI reflects changes in the outcomes of VR participants, not just the new taxes they pay.

Comparison

Data from the Virginia Vocational Rehabilitation Program demonstrate these differences by comparing the Social and Taxpayer ROIs for the program.

The Social ROI

The Social ROI accounted for significant increases in employment probability, as well as average annual income (across all VR recipients, unconditional on whether they were employed).

For those with cognitive disability:
- Employment probability increased from 48.6% to 60.5% or by 11.9 percentage points (pp)
- Average quarterly income increased from $946 to $1,692 or about $746 per quarter

For those with mental illness:
- Employment probability increased from 32.7% to 38.6% or by 5.9 pp
- Average quarterly income increased from $369 to $588 or about $220 per quarter

For those with physical disability:
- Employment probability increased from 91.0% to 96.5% or by 5.4 pp
- Average quarterly income increased from $2,265 to $4,363 or about $2,098 per quarter

The Taxpayer ROI

The Taxpayer ROI, however, was nominal and often negative because most VR clients did not earn enough annual income to pay state taxes. Although many clients earn more after receiving VR services, only a fraction pay any additional taxes. Thus, the increase in tax-revenues caused by VR is often less than the cost of VR services.

These differences highlight the value of using Social ROI compared to Taxpayer ROI. Program decision-making based on Taxpayer ROI often leads to different conclusions because it undervalues the benefit of VR services for people with varied disabilities. For this reason, Social ROI is the recognized measure of program value.

For further details, see: Clapp, C. M., Pepper, J., Schmidt, R., & Stern, S. (2026). Problems in Using Measures of Taxpayer Return on Investment to Evaluate Work Force Programs. Rehabilitation Counseling Bulletin, 69(4), 263-273. Available at: https://doi.org/10.1177/00343552251355344.

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